Limitations of VPF

- If the employer contributes in excess of 12% towards your provident fund (which the employer rarely does), then the employee will have to pay tax on that amount.
- You should be prepared to have your money locked in, till the time of your retirement, or emergency needs as described earlier.

Now, both EPF and VPF are designed in a way so as to offer you good (approx. 9%) returns with safety and lock in. But things are slowly changing. 9% does not seem to be 'good enough' return now a days for a long term investment like Provident Fund. As of writing of this revision of the book, there are discussions and proposal going on from the government to dilute this model of Provident Fund. It is now being proposed by the government to invest a portion of the PF corpus to equity based investments. This allocation could be 1% of the existing corpus or 5% of the incoming corpus in PF every year. The decision of contributing a part of your EPF and VPF corpus to equity based investments has far reaching consequences in the long term. This change in the long held stand by the government demonstrates a few clear points:

1. For a long term investment (10+ years), nothing can beat the returns of equity investments.
2. Equity Investments are not "that" risky, especially in the long run. It tends to offer an extremely efficient risk-reward ratio.

Having seen the positives of your PF portfolio being invested in equity, it may come as a breach of freedom for the reluctant investor, who wants to be 100% safe with his / her investments by investing only in debt based investments. A portion of your salary will mandatorily be invested in equity market now.